ROSE QUARTZ MASSAGE | COST OF GOODS AND OPERATIONS ANALYSIS

What it costs to open, operate, and protect the margin.

Prepared May 25, 2026. Built from public competitor pricing, franchise disclosure summaries, Nevada and Las Vegas licensing sources, current retail rent reports, labor data, supplier pricing, and salon/spa financial benchmarks.

Operating lens
1-room boutique launch
with clear scale warnings for multi-room or franchise-style buildouts.

Recommended launch capital
$45k-$140k
For a polished one-room or compact two-room independent studio with controlled buildout and 3 months of runway.

Do not copy franchise economics
$516k-$1.08M
Public franchise proxies show full retail-spa builds are dramatically more capital intensive.

Healthy EBITDA target
10%-20%
After paying real labor, rent, marketing, insurance, software, and admin. Owner-operator cash flow can look higher if owner labor is unpaid.

Immediate Takeaway

Rose should treat massage as a service-margin business, not a product-margin business. The core cost driver is paid provider time, followed by rent, marketing, laundry, payment processing, and admin. The safest launch path is a premium one-room studio with tight fixed costs, a high 90-minute utilization strategy, and membership revenue only after no-show and rollover rules are clear.

Margin rule: If Rose pays a therapist, direct session costs should usually stay under 50%-55% of service revenue. If Rose is owner-operated, the P&L must still reserve an owner compensation line so profit is not confused with unpaid labor.

Working Assumptions for Rose

Public Rose one-time rates
$145 / $220 / $305
60, 90, and 120 minutes.

Public Rose member rates
$125 / $190 / $265
60, 90, and 120 minutes.

Model blended ticket
$198
Assumes a 90-minute-heavy mix and a blend of one-time and member pricing.

Cost of Goods Sold: What Belongs in COGS

COGS LINE	TYPICAL RANGE	ROSE PLANNING TARGET	WHY IT MATTERS
Provider labor for performed services	35%-50% of service revenue	Owner-operated: track as owner comp. Staffed: cap near 40%-45% before tips.	Largest variable cost. A 50% commission on a $190 member 90-minute session leaves less room for rent and marketing.
Backbar products: cream, oil, gel, aromatics, hot towel supplies	4%-6% of service sales in salon/spa benchmarks	$3-$8 per session unless premium aromatics or stones are added.	Low per-session cost, but waste, overuse, and too many SKUs can quietly erode margin.
Linen and laundry	$6-$14 per session if outsourced at 4-7 lb/session	Budget $8 per service at launch; renegotiate after volume is known.	Clean linens are a safety cost, not an optional amenity. Oil-heavy linens also need a fire-safe laundry process.
Payment processing	About 2.6%-3.5% plus fixed fee depending on card-present or card-on-file	Use 3.2% in models. A $220 card payment is roughly $6-$8.	Memberships, deposits, and card-on-file transactions can cost more than tap/dip/swipe payments.
Retail inventory cost	48%-54% of retail revenue	Only add retail after service operations are stable.	Retail can help margin, but only if inventory turns and staff can sell without making the brand feel pushy.

Benchmark anchor: salon/spa COGS often include service provider wages, backbar products, retail product costs, and credit card fees; the cited benchmark range is 45%-55% of total revenue, with professional product budgets around 4%-6% of service sales.

Session Unit Economics

SCENARIO	REVENUE	LABOR	LAUNDRY + SUPPLIES	CARD FEES	DIRECT MARGIN	READ THIS CORRECTLY
90-min one-time, paid therapist model	**$220**	**$92-$105**	**$11-$16**	**$7**	**42%-50%**	This is the real gross margin if provider time is paid as session labor.
90-min member, paid therapist model	**$190**	**$80-$90**	**$11-$16**	**$6**	**41%-49%**	Membership can work, but only if retention reduces marketing and admin costs.
90-min owner-operator model	**$190-$220**	**$0 in COGS**	**$11-$16**	**$6-$7**	**88%-91%**	This is not true profit. Owner compensation must be budgeted below gross margin.

Startup Capital Expenditures

CATEGORY	LEAN BOUTIQUE	POLISHED BOUTIQUE	FRANCHISE-STYLE BENCHMARK	NOTES
Entity, legal, accounting, licensing, inspection readiness	**$1,500-$4,000**	**$4,000-$10,000**	**$1,155-$13,199 licenses and permits in Elements estimate**	Includes LLC/state/local license planning, forms, records, and professional review.
Lease deposits, utility deposits, first month	**$3,000-$9,000**	**$8,000-$20,000**	**$3,900-$9,400 in Elements estimate; Massage Envy summary cites 3 months lease rent of $11,500-$36,000.**	Negotiated tenant improvements and free rent matter more than headline rent.
Leasehold improvements and room buildout	**$5,000-$35,000**	**$35,000-$125,000**	**$250,000-$365,000 in Elements estimate**	Electrical, plumbing, walls, flooring, ADA path, sound control, lighting, and reception area.
Massage tables and ergonomic equipment	**$1,800-$4,000**	**$4,000-$9,000**	**$1,495-$2,945 Oakworks ProLuxe MSRP examples**	Use at least one professional electric lift table if budget allows. Add portable backup only if needed.
Prenatal, restorative, and accessibility supports	**$350-$900**	**$900-$2,500**	**Included in opening package/buildout**	Bolsters, wedges, side-lying pillows, step stool, waterproof table protection, wider-body comfort options.
Linens, blankets, towels, face-cradle covers	**$600-$1,400**	**$1,400-$3,500**	**Included in opening package**	Plan 18-30 service turns minimum for a one-room studio, more if outsourcing pickup only twice weekly.
Furniture, storage, decor, retail display	**$2,000-$8,000**	**$8,000-$25,000**	**$50,000-$60,000 cabinetry, millwork, furniture, and decor in Elements estimate**	Keep decor durable and cleanable. Avoid fragile pieces that slow turnover.
Laundry setup or outsourced onboarding	**$300-$1,500**	**$1,500-$5,500**	**Often built into franchise facility plans**	In-house laundry needs venting, utility capacity, oil-stain process, and fire-risk controls.
Technology, POS, booking, computer, printer, speakers	**$750-$2,500**	**$2,500-$8,500**	**$27,000-$31,000 computer and A/V technology in Elements estimate**	Independent operators should resist overbuying hardware before booking

CATEGORY	LEAN BOUTIQUE	POLISHED BOUTIQUE	FRANCHISE-STYLE BENCHMARK	NOTES
				volume justifies it.
Signage, launch assets, website, photography, local SEO	**$2,000-$10,000**	**$10,000-$30,000**	**$7,500-$12,600 signage plus $20,000 grand opening spend in Elements estimate**	Rose should invest in local trust, reviews, prenatal authority, and Google Business Profile quality.
Opening cash reserve	**$15,000-$35,000**	**$35,000-$75,000**	**$59,550-$95,000 additional funds for 3 months in Elements estimate**	This protects the first 6-12 months while reviews, rebooking, and memberships build.

Monthly Operating Expense Budget

EXPENSE	OWNER-OPERATED SUITE	SMALL STOREFRONT	BENCHMARK / GUARDRAIL
Rent, NNN/CAM, utilities allocation	**$1,500-$3,800**	**$3,500-$8,500**	Las Vegas retail reports show broad asking rent around $25/sf NNN, with higher submarkets above $30/sf. Salon/spa rent target: 4%-8% of revenue; spa operating guides often show occupancy at 10%-15%.
Provider payroll or contractor labor	**$0-$4,000 plus owner draw**	**35%-50% of service revenue**	Use employee classification carefully; do not rely on improper contractor structure to make margin work.
Booking software and POS	**$0-$75**	**$75-$250**	Vagaro lists a US base subscription at $23.99/month plus additional calendars. Square has free and paid appointment tiers with payment processing by transaction type.
Card processing	**2.6%-3.5%**	**2.6%-3.5%**	Model at 3.2% of collected card revenue unless negotiated volume pricing is obtained.
Laundry	**$350-$1,200**	**$1,000-$3,500**	Local wash-and-fold pricing found at $1.50/lb next-day and $1.60/lb recurring pickup. Budget by pounds per service, not by vibes.
Professional/backbar supplies	**$250-$900**	**$900-$2,400**	Keep professional product purchasing near 4%-6% of service sales.
Insurance	**$25-$250**	**$250-$900**	Solo professional liability can be low; business property, workers comp, cyber, EPLI, and landlord-required coverage raise the cost.
Marketing and reputation	**$800-$2,500**	**$2,000-$6,000**	Use 5%-8% of revenue early; reduce only when rebooking, referrals, SEO, and reviews are working.
Cleaning, sanitation, repairs	**$200-$700**	**$700-$1,800**	Do not underbudget room resets, restroom care, filters, replacement linens, and table maintenance.
Bookkeeping, payroll, legal, tax, admin	**$250-$900**	**$900-$2,500**	Memberships, gift cards, employee payroll, retail tax, and licensing calendars create real admin work.

Licensing, Fees, and Compliance Items

ITEM	PUBLIC FEE / REQUIREMENT	BUDGET TREATMENT	ROSE NOTE
Nevada massage therapist license	Online application $100, issuance $295, background check $85, online renewal $295.	Per therapist.	Owner or staff performing massage must maintain active licensure.
Nevada establishment certificate	State schedule shows no fee for a single massage room, $15 for 2-7 rooms, $25 for 8-20 rooms, increasing by size.	Small dollar, but operationally important.	Do not confuse state certificate with city/county business licensing.
City of Las Vegas massage establishment license	Municipal code summary states annual establishment license fee of $400 plus professional employee license fees.	Annual local license.	Location determines jurisdiction. City and Clark County are different licensing paths.
City professional employee license	$100 for first professional employee and $75 for each additional professional employee, semi-annually.	Budget per licensed therapist under city path.	Employee therapists must be accounted for under the proper professional license structure.
City temporary license option	$500 nonrefundable temporary license request; city checklist says investigations average 3-6 months.	Launch timing risk.	Do not sign a lease assuming immediate opening before suitability/background process is clear.
Clark County massage establishment path	County checklist shows $45 application fee, $25 massage establishment license fee, and $300 LVMPD check per owner.	Applies if operating in unincorporated Clark County.	County checklist also asks for floor plan, photos, manager forms, and state professional license copy.
Nevada LLC and state business license	Common LLC formation package: $75 articles, $150 initial list, $200 state business license. Ongoing common annual cost: $150 list plus $200 business license.	$425 startup, $350/year common LLC baseline.	Verify entity choice with tax/legal advisor before forming.
Special use, zoning, proximity, signage	City massage establishment checklist flags Special Use Permit for free-standing establishments and proximity restrictions.	Potential delay and deal-killer.	Lease due diligence must confirm massage use, parking, signage, and proximity before deposit becomes nonrefundable.
Health card, posted licenses, posted rates, ad license numbers	City handout requires evidence of health card and proof of massage licensure; rates and licenses must be posted; ads must contain business license number.	Operational compliance.	Build this into opening checklist, website footer, room signage, and front-desk binder.

Competitor EBITDA and Rent Reality

Public sources do not disclose EBITDA or lease costs for the local independent competitors in the pricing report. The reliable approach is to mark those as undisclosed, then compare Rose against public franchise proxies and industry benchmarks.

COMPETITOR SET	EBITDA PUBLIC?	RENT PUBLIC?	USEFUL PROXY	PLANNING IMPLICATION
Massage Vegas, Temple Touch, On The Fly, Flow, IMR, Massage Well, Thai Spa Wellness, K Spa, June Spa	No public EBITDA found.	No public rent found.	Small independent studio economics. Estimate rent from current Las Vegas retail/office asking rents and keep occupancy near 4%-8% of revenue when possible.	Do not benchmark Rose to their visible prices alone. The hidden difference is whether owners are paying themselves, doing laundry, and working reception.
Canyon Ranch, Palms, AWANA / resort spas	Property-level financials may exist, but spa EBITDA is not broken out as a clean public line item.	Internal resort allocation, not market lease data.	Resort pricing proves ceiling willingness to pay, not independent studio cost structure.	Rose should borrow service polish from resort spas, not resort fixed costs.
Massage Envy franchise proxy	2025 FDD summary reports no net income, net profit, EBITDA, or expense percentages in Item 19.	FDD summaries include lease/rent assumptions, but site-level rent varies.	Average gross revenue $1,137,964, median $1,070,589, initial investment $719,350-$1,081,000, 6% royalty, 2% brand fund, fixed monthly fees.	Shows the scale needed when many rooms, staff, membership systems, and franchise fees are involved.
Elements Massage franchise proxy	Public page references Item 19 but does not publish EBITDA in the summary.	Deposits disclosed; exact rent not public in summary.	Initial investment $515,789-$729,603; leasehold improvements $250,000-$365,000; 6% royalty, 2% brand fund, $2,000/month local advertising.	Useful capex warning: a fully built membership studio is a different business than a one-room premium boutique.

Typical Margins and Markups to Compare Against

Service gross margin

Healthy service gross margin after direct session labor, supplies, laundry, and card fees should land near 45%-55% for a staffed spa model. If Rose is owner-operated, the margin can look much higher, but that is because owner labor has not been paid yet.

Net profit / EBITDA

A well-managed spa commonly targets 10%-20% net profit. A young studio may run below that while buying reviews, refining occupancy, and absorbing startup inefficiency.

Retail markup

If retail product cost is 48%-54% of retail revenue, the implied markup on cost is roughly 85%-108%. Example: a product bought for $13 should retail around $24-$27 before discounts.

Backbar markup

Backbar is not normally marked up directly unless sold as an enhancement. If an aroma, hot towel, stone, or ritual add-on uses extra setup and supplies, price it from labor/time plus cost, not product cost alone.

Break-Even Scenarios

MODEL	MONTHLY FIXED COST	VARIABLE COST PER SESSION	BREAK-EVEN BEFORE OWNER PAY	BREAK-EVEN WITH $8K OWNER PAY
Owner-operated suite	**$5,500**	**$22**	**32 sessions/month**	**78 sessions/month**
Polished one-room studio	**$10,500**	**$25**	**61 sessions/month**	**107 sessions/month**
Small two-room staffed storefront	**$18,000**	**$105 including provider labor**	**194 sessions/month**	**280 sessions/month**

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Formula used: break-even sessions = fixed cost / (blended ticket - variable cost). Blended ticket modeled at $198.
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Interpretation: Rose can start profitably as an owner-operated boutique long before it can support a staffed, multi-room storefront. Staffed growth needs high utilization, strong rebooking, and room-level scheduling discipline.

Items Founders Often Forget

- ☐ Lease clause expressly allowing massage therapy and the exact operating model.
- ☐ City vs. Clark County jurisdiction check before signing anything.
- ☐ Special Use Permit, zoning, proximity, parking, signage, and ADA path review.
- ☐ Background and financial suitability timelines before opening date is promised.
- ☐ Owner or approved key employee coverage during all operating hours.
- ☐ Posted rates, posted licenses, ad license numbers, and front-desk compliance binder.
- ☐ Health card, CPR, continuing education, and license renewal calendar.
- ☐ Workers compensation, payroll taxes, overtime, and employee vs. contractor classification.
- ☐ Membership rollover, cancellation, refund, dormancy, gift-card liability, and chargeback policy.
- ☐ Client intake privacy, secure forms, data retention, and breach response.
- ☐ No-show deposits and card-on-file language before online booking goes live.
- ☐ Oil-stained linen fire risk, dryer vent cleaning, and laundry SOP.
- ☐ Pregnancy contraindication and provider-guidance language.
- ☐ Fragrance sensitivity, nut oils, CBD, stones, cupping, and modality insurance exclusions.
- ☐ Music licensing if commercial music is played outside a licensed platform.
- ☐ Review-generation system after every completed appointment.
- ☐ Replacement reserve for linens, bolsters, table vinyl, face cradles, and small tools.
- ☐ Retail sales tax, inventory shrink, expired products, and return policy.
- ☐ Cleaning labor between guests, not just the visible treatment time.
- ☐ Emergency plan: client fainting, prenatal issue, boundary violation, harassment, or injury.

Decision Checklist Before Rose Commits to a Lease

- ☐ Confirm jurisdiction: City of Las Vegas, Clark County, Henderson, or North Las Vegas.
- ☐ Confirm massage use is permitted in writing.
- ☐ Ask licensing department whether Special Use Permit is required for the exact address.
- ☐ Request landlord TI allowance, rent abatement, and permission for signage.
- ☐ Model rent at 4%, 8%, 12%, and 15% of expected monthly revenue.
- ☐ Confirm water, laundry, electrical, HVAC, sound, ADA, restroom, and parking constraints.
- ☐ Build a 90-day opening timeline with licensing buffers.
- ☐ Price insurance with landlord additional insured requirements before signing.
- ☐ Decide if Rose is owner-operated only or will hire within first 12 months.
- ☐ Decide whether membership starts at opening or after utilization stabilizes.
- ☐ Set a minimum cash reserve that covers 3 months of fixed expense plus owner draw.
- ☐ Do not add costly services such as facials, cupping, CBD, retail, or events until the core massage margin works.

Recommended Operating Targets

METRIC	LAUNCH TARGET	HEALTHY TARGET	WARNING SIGN
Rent and occupancy cost	Under 10% of revenue	4%-8% of revenue	Above 15% before the studio has strong memberships.
COGS including paid provider labor	Under 55%	45%-50%	Provider pay plus laundry and fees consume more than 58%.
Marketing	5%-8% early	3%-6% once rebooking is strong	Discounting replaces brand trust or referral flow.
Room utilization	45%-60%	70%-80% during bookable prime hours	Calendar looks busy but revenue per available room hour stays low.
Rebooking	35%-45%	55%+	Every month depends on new paid acquisition.
EBITDA / net profit before owner growth decisions	0%-10% during ramp	10%-20%	Owner is unpaid and books still show "profit."

Source Notes

Nevada Board of Massage Therapy
https://massagetherapy.nv.gov/

NAC 640C.095 fees
https://www.law.cornell.edu/regulations/nevada/NAC-640C-095

City of Las Vegas massage establishment checklist
https://files.lasvegasnevada.gov/business-licensing/Massage-Establishment-Web-Instruction-Sheet.pdf

City of Las Vegas manager/key requirements
https://files.lasvegasnevada.gov/business-licensing/Massage-Establishment-Handout-Manager-Key-Requirements-PL047.pdf

Las Vegas municipal code summary
https://library.municode.com/nv/las_vegas/codes/code_of_ordinances?nodeId=TIT6BUTALIRE_CH6.52MAESINMATH_6.52.050LIFE

Clark County massage/reflexology checklist
https://www.clarkcountynv.gov/assets/documents/business/doing_business_with_clark_county/divisions/massage-reflexology-cosmetology-establishment-checklist-06-2022.pdf

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https://www.bls.gov/oes/2023/may/oes_29820.htm

Las Vegas retail rent market report
https://excelcres.com/wp-content/uploads/2026/02/2026-Outlook-Market-Report-Mainfile.pdf

Elements Massage franchise investment
https://www.elementsfranchise.com/investment-information/

Massage Envy FDD summary
https://www.frandb.com/franchise/massage-envy/2025

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https://strategies.com/assets/site/henkel/strategies-ebook.pdf

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https://www.earthlite.com/massage/massage-tables.html

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https://www.usaeventmassage.com/wp-content/uploads/2015/07/Oakworks-Pro-Massage-Price-List.pdf

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Square Appointments pricing
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Local laundry price anchor
https://www.ajlaundrystar.com/about-us/pricing/

Prior Rose competitor pricing artifact
docs/competitive-pricing-printout.html

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